BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

AT NEW DELHI

CAA- 150/ND/2018

IN THE MATTER OF SCHEME OF AMALGAMATION BETWEEN

Novalty Enterprises Private Limited

.....Applicant No.1/Transferor Company

WITH

Swachh Industries Limited

.....Applicant No. 2/ Transferee Company

AND

Their Respective Shareholders and Creditors

CORAM: Smt. Ina Malhotra, Member (Judicial)

Sh. V.K Subburaj, Member (Technical)

PRESENT: Ms. Rekha Mittal, PCS

ORDER DELIVERED ON – 16.01.2019

O R D E R

PER SMT. INA MALHOTRA, MEMBER (J)

1. This Joint application has been filed by the Applicant Companies under sections 230 and 232 of the Companies Act, 2013 read with the Company (Compromises, Arrangements and Amalgamations) Rules,

2016 and the National Company Law Tribunal Rules, 2016, for the purpose of approving the Scheme of Amalgamation, as contemplated between the Transferor Companies with Transferee Company.

2. Both the Transferor Company as well as Transferee Company have their registered offices which lie within the jurisdiction of this Tribunal.

3. A perusal of the petition discloses that Transferor Company (Applicant No.1) and the Transferee Company (Applicant No.2) had jointly filed the first motion application bearing C.A. No. (CAA) 155/ND/2018. The Tribunal vide its order dated 3rd December, 2018 had dispensed with the meetings of the equity shareholders and unsecured creditors of both the Companies. There were no secured creditors in either company.

The Scheme was duly approved by the Board of Directors of the companies in their respective meetings held on 15.09.2018. Consent of the Shareholders was filed by way of affidavits.

4. The applicant companies have now initiated the Second Motion. An affidavit dated 17.11.2018 discloses that the petitioners have effected publication in the daily newspapers "The Business Standard" in English and in Hindi, both dated 22.10.2018, having circulation in Delhi, and inviting objections, if any, to the proposed Scheme of Amalgamation. The affidavit further discloses that due notice of the proposed scheme had been served on the Registrar of Companies, Regional Director, Northern Region, Income Tax Dept. and the Official Liquidator in compliance with the order of the Tribunal.

Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us.

Additionally, it has been deposed vide affidavits that no objection to the proposed Scheme has been received by the applicant companies or their

counsel. The replies of the Regional Director, NR, MCA dated 26.11.2018 and the Report of Official Liquidator dated 22.11.2018 have been placed before us.

5. We have heard the Ld. Counsel for the petitioners and also considered the representation dated 22.11.2018 made by the Regional Director, Northern Region. In the reply filed by the Regional Director (NR), it has been confirmed that the Transferor and Transferee companies are regular in filing their statutory returns. No prosecution has been filed, no complaints are pending and no inspection or investigation has been conducted in respect of the applicant companies. Further in their report, they have stated that they have no objection to the sanction of the proposed scheme. Despite notice to the Income Tax Dept, no observations have been received from them even after a lapse of 30 days.

6. Copies of the Memoranda of Association and Articles of Association providing for such amalgamation along with their audited Balance Sheets as on 31.03.2018, have been filed by each applicant company along with the report of the Statutory Auditor certifying that the Accounting Standards as required u/s 133 of the Companies Act 2013 have been adhered to.

7. It has been stated on behalf of the Applicant Companies that the Scheme of Amalgamation is necessitated and justified on grounds that it:-

   a. The Transferor Company is a wholly owned subsidiary of the Transferee Company. Both the Transferor and Transferee Companies are engaged in similar business activities. The proposed scheme of amalgamation would result in business synergy, pooling of resources and consolidation of these companies;

b. Would enable pooling of physical, financial and human resource of these Companies for the most beneficial utilization of these factors in the combined entity;

c. Would result in usual economies of a centralized and a large company holding elimination of duplicate work, reduction in overheads, better and more productive utilization of human and other resource and enhancement of overall business efficiency;

d. Would enhance the shareholders value of the Transferor and Transferee Company;

The Appointed Date of the Scheme is 1st April, 2018.

8. Being holding owned subsidiary of the Transferee Company, the scheme provides for :-

- Entire Issued Share Certificate and share certificates of the Transferor Company shall automatically stand cancelled;
- Cross holding of shares between the Transferor Company and the Transferee Company on the record date, if any, shall stand cancelled.

9. In view of the foregoing, upon considering the approval accorded by the members and creditors of all companies to the proposed Scheme, and no observations being raised by the office of the Regional Director, OL or the Income Tax Dept, there appears to be no impediment in granting sanction to the Scheme. Consequently, sanction is hereby granted to the Scheme under sections 230-232 of the Companies Act, 2013. The sanctioned Scheme of amalgamation shall be binding on the Transferor and the Transferee Companies and on all their respective shareholders and creditors. The Petitioners shall also be bound to comply with the statutory requirements in accordance with law.

10. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of both the petitioner companies.

11. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, Statutory dues or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

12. This tribunal doth further order that upon scheme of Amalgamation by way of Merger coming into effect;

a. That Transferor Companies shall stand dissolved without being wound up.
b. That the entire business, properties and assets of the Transferor companies, be transferred without further act or deed to the Transferee company and accordingly the same shall, pursuant to section 232 of the Act, be transferred to and vest in the Transferee company, but subject nevertheless to all charges now affecting the same;
c. That all the assets and liabilities including Income Tax and all other Statutory dues, if any, of the Transferor companies, be transferred without further act or deed to the Transferee company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company;

d. All employees of the Transferor Companies in service on the effective date shall become the employees of the Transferee Company on and from such date without any break or interruption in service and upon terms and conditions not less favorable than those subsidiary with the Transferor Company on that date. The Appointed date for Amalgamation shall be 1st April 2018. That all proceedings now pending by or against the transferor companies, be continued by or against the transferee company;

13. That petitioners shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the transferor company and registered with them and shall consolidate the files of the companies, is accordingly duly approved and sanctioned in terms of the above.

14. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

15. The Transferee Company is directed to pay **Rs. 1 Lakh** to the Prime Minister's Relief Fund receipt of which shall be produced before the RoC at the time of Submission of the Sanctioned Scheme.

-Sd-

(V.K Subburaj)
Member Technical

-Sd-

(Ina Malhotra)
Member Judicial)